In the context of a credit score, good is typically anything above 700. Great is above 740, amazing is above 800, and basically impossible and literally the highest score you can have is 850. The better your credit score, the easier it will be to access financing and get the best interest rate on your mortgage. While a lender may approve you with a lower credit score, that will then result in a higher interest rate, which makes buying a home even more expensive. If your credit score is less than 700, you will want to develop a strategy that will bring it to 700 or higher prior to your home purchase.

You can check your credit score by contacting one of the three major credit bureaus, or you can use an online service like Credit Karma. (Heads up: Your credit score from a free reporting site won't be exactly the same as the score lenders will pull for your mortgage qualification. Be prepared for the score to shift in either direction.)

The score you see online is determined by five factors: payment history, length of credit history, credit utilization, recent inquiries, and credit diversification. Of these factors, payment history makes up the largest portion of your score—a total of 35 percent—which means that when your payments are late or missed, your score takes a nosedive. Though you can't go back and change the past, you can catch up on any still-missing payments, and you can make all your payments on time going forward.

Another large portion of the overall score is your credit utilization, which rings in at 30 percent. The more you use your available line of credit, the lower your score will be. If you have a credit card with a $5,000 line of credit and a $4,000 balance, one quick way to improve your score would be to pay down that balance as much as possible. Another quick fix could be to request a credit line increase from that same card, though it's much better to work on paying the balance down—and keeping it down.

Let's talk about that for a minute—a whopping 65 percent of your credit score is determined by your ability to make payments on time and not max out your cards. If your credit score looks gloomy, you should examine these two items and work to change your habits. Setting up a recurring reminder on your phone or automatic payments can keep you on track to pay down your balances, which will increase your score more quickly than anything else.